



MEMORANDUM

CN - No. 2026-0036

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Rule Amendment |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : EFFECTIVITY OF THE PSE AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP AND REVISED GUIDELINES IN DETERMINING THE PUBLIC OWNERSHIP OF LISTED COMPANIES

DATE : August 11, 2026

Please be informed that the Securities and Exchange Commission ("SEC") has approved the PSE Amended Rule on Minimum Public Ownership ("Amended MPO Rule") and the Revised Guidelines in Determining the Public Ownership of Listed Companies ("Revised PO Guidelines").

For the information and guidance of the investing public and market participants, copies of the SEC-approved PSE Amended MPO Rule and Revised PO Guidelines are hereto attached.

The PSE Amended MPO Rule and Revised PO Guidelines shall take effect immediately.

For your information and guidance.

(Original signed)
Ramon S. Monzon
President and CEO

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AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP

Section 1. Authority and Policy Basis

This Rule is issued pursuant to Securities and Exchange Commission (“SEC” or the “Commission”) Memorandum Circular No. 11, Series of 2026, which prescribes new minimum public ownership (“MPO”) requirements for listed companies and authorizes the Exchange, subject to criteria and safeguards approved by the Commission, to endorse a lower MPO requirement for issuers with exceptionally large expected market capitalization upon such terms and conditions as may be necessary or appropriate for the protection of investors, the maintenance of a fair, orderly, and efficient market, and the promotion of the public interest.

Section 2. Minimum Public Ownership Requirement

- (a) A company applying for initial listing through an initial public offering is required to have a minimum initial public ownership, as follows:

COMPANY	MINIMUM INITIAL PUBLIC OWNERSHIP	
Listed prior to the effectivity of SEC Memorandum Circular No. 13, Series of 2017	10%	
Listed after the effectivity of SEC Memorandum Circular No. 13, Series of 2017	20%	
Listed after the effectivity of SEC Memorandum Circular No. 11, Series of 2026	<i>Expected Market Capitalization at the time of Listing</i>	<i>Minimum Initial Public Ownership</i>
	Not exceeding PhP 500 million	33%
	Over PhP 500 million but not exceeding PhP 1 billion	25% (subject to a minimum offer size of PhP 165 million)
	Over PhP 1 billion but not exceeding PhP 50 billion	20% (subject to a minimum offer size of PhP 250 million)
	Over PhP 50 billion	15% (subject to a minimum offer size of PhP 10 billion)
Real Estate Investment Trust	33.33%	

- (b) Listed companies shall, at all times, maintain the prescribed minimum percentage of listed securities held by the public, as follows, calculated based on issued and outstanding common shares:

COMPANY	MINIMUM MAINTAINING PUBLIC OWNERSHIP	
Listed prior to the effectivity of SEC Memorandum Circular No. 13, Series of 2017	10%	
Listed after the effectivity of SEC Memorandum Circular No. 13, Series of 2017	20%	
Listed after the effectivity of SEC Memorandum Circular No. 11, Series of 2026	<i>Market Capitalization at the time of Listing</i>	<i>Minimum Maintaining Public Ownership</i>
	Not exceeding PhP 50 billion	20%
	Over PhP 50 billion	15%
Real Estate Investment Trust	33.33%	

For avoidance of doubt, preferred shares and treasury shares shall be excluded from the computation of the minimum public percentage.

The Exchange may increase, decrease, suspend, or remove the minimum percentage only with prior approval from the Commission.

- (c) Subject to prior or subsequent approval of the Commission, as may be required, the Exchange may, in the exercise of its regulatory discretion, allow an issuer to comply with a lower minimum public ownership requirement than that prescribed above, provided that the Exchange determines, based on the totality of circumstances and supported by clear, objective, and verifiable evidence, that the grant of such relief is consistent with investor protection, market liquidity, and the public interest.

i. *Eligible Companies*

An issuer with exceptionally large expected market capitalization at the time of listing of not less than PhP 200 billion may be considered eligible for the grant of a lower MPO requirement, which in no case shall be lower than twelve percent (12%), *provided*, that the applicable minimum

maintaining public ownership shall in no case be lower than the approved minimum initial public ownership percentage.

ii. *Eligibility Criteria*

An issuer that complies with the immediately preceding criterion shall be considered eligible for the grant of a lower MPO requirement only if it complies with all of the following criteria:

- 1) The issuer is able to establish, to the satisfaction of the Exchange, based on objective and verifiable market data, that a lower MPO requirement at the time of listing would reasonably be expected to promote a more orderly, effective, and equitable distribution of shares to the investing public, which, in turn, may contribute to improved pricing efficiency and liquidity of the shares:
- 2) The issuer has demonstrated full compliance with applicable registration and disclosure requirements under the SRC and its implementing rules and regulations, as well as the Exchange's rules, and has undertaken to provide enhanced, timely, and continuing disclosures, as may be required by the Exchange, to ensure that investors are fully informed of the implications of a reduced public float, including any attendant liquidity, trading, or ownership concentration risks; and
- 3) The issuer has put in place, or has committed to implement, adequate safeguards acceptable to the Exchange to mitigate risks associated with a reduced public float, including measures to promote liquidity support and timely compliance with applicable disclosure and continuing listing obligations.

Section 3. Guidelines in Determining the Public Ownership of Listed Companies

Public ownership shall be determined in accordance with the Amended Guidelines in Determining the Public Ownership of Listed Companies.

Section 4. Disclosure and Continuing Compliance Requirements

- (a) A listed company shall immediately disclose to the Exchange, in accordance with Section 4.1, Article VII of the Consolidated Listing and Disclosure Rules, as amended, once the number of its listed securities held by the public falls below the prescribed MPO percentage.

For this purpose, all listed companies shall establish and maintain effective internal procedures for monitoring compliance with the MPO requirement, which shall include, at a minimum, the computation of public float on a monthly basis.

- (b) Upon falling below the prescribed MPO percentage, the listed company shall promptly take corrective measures to restore compliance at the earliest possible time and within a maximum period of six (6) months from date of such fall. The listed company shall submit to the Exchange, no later than ten (10) days from the date of the breach of the MPO requirement, a Compliance Plan or a time bound business plan describing the steps that the company will take to bring its public float to the required level within a maximum period of six (6) months from date of such breach.
- (c) A listed company shall include in its annual report a statement of its public float level as of the end of the fiscal year or, where applicable, as of the latest practicable date prior to the issuance of the annual report.
- (d) Listed companies shall submit to the Exchange a Public Ownership Report ("POR") within fifteen (15) calendar days after the end of each quarter.
- (e) In the event that a listed company's minimum public ownership is reduced below the prescribed minimum percentage as a result of any transaction, including but not limited to the issuance of new shares or transfer of shares from public to non-public shareholders, the listed company shall, immediately upon execution of such transaction, submit to the Exchange an interim POR reflecting the percentage of its public ownership post-transaction.
- (f) Listed companies shall ensure that all PORs contain full, fair, timely, and accurate information in accordance with Section 1, Article VII of the Consolidated Listing and Disclosure Rules. A POR that does not comply with the foregoing requirements shall be deemed in violation of the reportorial requirements under this Rule.
- (g) Any and all reports required to be filed by a listed company with the Commission under SEC Memorandum Circular No. 11, Series of 2026 shall likewise be filed with the Exchange. The Exchange shall adopt the Commission's reportorial requirements and submission timelines, unless otherwise provided by the Exchange.

Section 5. Companies Listing by Way of Introduction and Backdoor Listings

Upon and after listing, all listed companies, including those listed by way of introduction and those admitted through backdoor listings, shall be subject to the maintenance, disclosure, reporting, monitoring, and enforcement provisions of these Rules.

For the avoidance of doubt:

- (a) Companies listing by way of introduction shall be required to meet and maintain the MPO requirement prescribed under Section 2(b) hereof: Provided, That, the issuer shall be able to demonstrate compliance with the applicable MPO requirement at the time of filing of the listing application and shall maintain such compliance upon listing and thereafter, subject to the continuing compliance obligations under these Rules.

- (b) In the case of companies admitted through a backdoor listing, compliance with the MPO requirement prescribed under Section 2(b) hereof shall be required immediately upon completion of the backdoor transaction and such companies shall thereafter be subject to the continuing disclosure, reporting, monitoring, and enforcement provisions of these Rules.

Section 6. Sanctions for Non-Compliance

- (a) Any violation of the reportorial requirements under this Rule shall warrant the imposition of the applicable penalties under Section 1, Article VIII of the Consolidated Listing and Disclosure Rules.
- (b) A listed company that becomes non-compliant with the MPO requirement under these Rules shall be immediately suspended from trading for a period of not more than six (6) months from the date of breach, during which period it may take steps to restore compliance with the MPO requirement or file a petition for voluntary delisting pursuant to the Amended Voluntary Delisting Rules.

A listed company that remains non-compliant upon the lapse of the suspension period shall be automatically delisted.

For the avoidance of doubt, the submission of a Compliance Plan or the pendency of corrective measures shall not suspend or defer the imposition of trading suspension under this paragraph.

- (c) Where a listed company has timely filed a petition for voluntary delisting prior to the lapse of the suspension period, but such petition has not yet been approved due to justifiable reasons beyond the control of the company, the Exchange may, in the exercise of its discretion, defer the imposition of automatic delisting.
- (d) Where a listed company is automatically delisted pursuant to paragraph (b) hereof, the procedure for delisting under the Involuntary Delisting Rules shall not apply; however, the five (5) year relisting prohibition shall apply. Further, directors and principal officers of such company are disqualified from becoming directors or principal officers of any company applying for listing (whether for initial or additional listing) within the same period, reckoned from the time of delisting, unless such director or principal officer is able to demonstrate, to the satisfaction of the Exchange, that he or she undertook reasonable measures and exercised due diligence to ensure the company's compliance with the applicable MPO requirement.

Where a petition for voluntary delisting by reason of breach of MPO percentage is approved, the five (5) year relisting prohibition and the above-described rule on disqualification of directors and officers shall also apply.

Section 7. Transitory and Grace Period Provisions

- (a) Listed companies that, as of the effectivity date of this Rule, are already subject to monitoring, reporting, or corrective actions arising from non-compliance with the MPO requirement shall continue to be governed by the applicable rules, undertakings, and regulatory actions in force at the time of such non-compliance: Provided, That, the disclosure, reporting, and compliance requirements under this Rule shall apply prospectively from its effectivity date, without prejudice to the Exchange's continuing regulatory authority.
- (b) Any pending submissions, reports, or compliance plans required to be filed with the Exchange prior to the effectivity of this Rule shall be deemed compliant if filed within the timelines and in accordance with the requirements prescribed under the rules then in force, unless otherwise directed by the Exchange.
- (c) Nothing in this Rule shall be construed to impair, diminish, or affect any regulatory action, sanction, suspension, or delisting process initiated by the Exchange prior to its effectivity.

Section 8. Repealing Clause

Any other existing Exchange rule or any part thereof inconsistent or in conflict with this Rule is hereby repealed or modified accordingly.

Section 9. Effectivity

This Rule shall take effect upon approval by the Securities and Exchange Commission and after publication by the Exchange in its official website.

THE PHILIPPINE STOCK EXCHANGE, INC.

(Original signed)

RAMON S. MONZON

President and Chief Executive Officer

(Original signed)

ROEL A. REFRAN

Executive Vice-President and Chief Operating Officer

SECURITIES AND EXCHANGE COMMISSION

(Original signed)

OLIVER O. LEONARDO

Director

Markets and Securities Regulation Department

REVISED GUIDELINES IN DETERMINING THE PUBLIC OWNERSHIP OF LISTED COMPANIES

1. Definition of Terms

For purposes of these Guidelines, the terms, “affiliate”, “associate”, “beneficially owned”, “director”, “parent company”, and “subsidiary” shall have the same meaning as provided in the Consolidated Listing and Disclosure Rules.

In addition, the following definition of terms shall apply, unless the context otherwise requires:

- a. **Controlling shareholder** shall mean a shareholder who has control over the listed company, the term “control” having the meaning given in Rule 3.1.8 of the 2015 Implementing Rules and Regulations of the Securities Regulation Code.
- b. **Employer-sponsored plan** shall mean a type of benefit plan, program or arrangement offered by employer to employees and shall include, but not be limited to, stock option plans, stock purchase plans, retirement plans, savings plans, incentive compensation programs, and pension funds.
- c. **Funds** shall include, but not be limited to, pension and retirement funds (except employer-sponsored pension and retirement funds classified as non-public), unit investment trust funds, mutual funds, asset managers, and any arrangement whereby funds are solicited from the investing public for the purpose of investment, reinvestment and trading in securities or other assets.
- d. **Principal officers** shall mean the President, Secretary and Treasurer of the listed company; the officers provided in the listed company’s By-laws; the executive or key officers declared in the listed company’s Annual Report; and any officer of the listed company who, individually or collectively with others, is in charge of the management of the listed company and/or who is a member of the listed company’s Management Committee or equivalent committee.

2. General Criteria for Share Classification

The categorization of shares into public and non-public shall be guided by the evaluation of the following criteria:

- a. Amount of shareholdings and its significance to the total issued and outstanding common shares of the company. Shareholdings of 10% or more of the outstanding common shares of the company is considered significant; and
- b. Extent of involvement or influence exercised by the shareholder in the affairs, management, or control of the company.

Only outstanding common shares are considered in the computation of public float; preferred shares and treasury shares are excluded.

3. Non-Public Shares

The following are considered non-public shares:

- a. Common shares beneficially owned, directly or indirectly, by a stockholder amounting to at least 10% of the total outstanding common shares;
- b. Common shares beneficially owned, directly or indirectly, by a stockholder who has representation in the Board of Directors;
- c. Common shares beneficially owned, directly or indirectly, by directors (including independent directors), principal officers and the Chairman Emeritus (or equivalent position) of the company;
- d. Common shares beneficially owned, directly or indirectly, by the parent company, a subsidiary, an affiliate or an associate of the company;
- e. Common shares beneficially owned, directly or indirectly, by a controlling shareholder; and
- f. Common shares of employees under an employer-sponsored plan whether fully paid or not.

For the purpose of classifying shares in the Public Ownership Report, shares lodged with the Philippine Depository and Trust Corporation ("PDTC"), being registered in the name of PCD Nominee Corp., shall be classified as indirect shareholdings.

4. Public Shares

All other common shares not falling under Section 3 above are generally considered public shares, unless the PSE determines that said shares are non-public using the general criteria for determining share classification.

Without limiting the generality of the foregoing, the following are considered public shares:

- a. Common shares held by individuals which are not of significant size;
- b. Common shares held by Trading Participants, except those determined as non-public shares;
- c. Common shares held by Funds, including government-run funds such as the Social Security System and the Government Service Insurance System, regardless of the amount of shareholdings, unless the Fund has a Board seat in the company;

- d. Common shares lodged under the PCD Nominee Corp. account of the PDTC, except those determined as non-public shares; and
- e. Underlying common shares of Philippine Depositary Receipts and depositary receipts issued in overseas exchanges, except those determined as non-public shares.

THE PHILIPPINE STOCK EXCHANGE, INC.

(Original signed)

RAMON S. MONZON

President and Chief Executive Officer

(Original signed)

ROEL A. REFRAN

Executive Vice-President and Chief Operating Officer

SECURITIES AND EXCHANGE COMMISSION

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OLIVER O. LEONARDO

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